Addis Ababa University
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Group assignment

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Group 1: The Planning Function Team

• Chapters Covered: 3 (Planning), 4 (Decision Making)

1**. Mission & Goals:** Develop a clear mission statement. Set three strategic long-term goals and three operational short-term objectives using SMART criteria.

2. Environmental Analysis: Conduct a SWOT Analysis.

3. Planning Process: Outline key steps to achieve first-year objectives.

4. Critical Decision: Analyze factory size decision using rational decision-making and make recommendation.

Table of content

1. **Missions and goals**
   - A clear mission statement ----------3
   - Three long term goals----------4
   - Operational short term objectives using SMART criteria----------5-6
2. **Environmental analysis**
   - conduct a SWOT analysis ----------6-8
3. **planning process**
   - outline the key steps to achieve first year objectives----------9
4. **critical decision**
   - analyzed factory size decision using rational decision-making and make a recommendation----------10-11
5. **reference** ----------12

1. Missions and goals

- A clear mission statement:

Green Valley Agro-Processing PLC is dedicated to becoming a leading force in Ethiopia's agro-processing industry by producing high-quality, value-added fruit and vegetable products that meet the demands of competitive international markets. Our mission begins with a commitment to excellence in every stage of production—from sourcing raw materials to processing, packaging, and export. We aim to transform Ethiopia's abundant agricultural potential into world-class products such as mango pulp, avocado oil, dried tomatoes, and other processed goods that contribute to the country's presence in the global agro-industry. Through innovation, modern technology, and continuous improvement, we seek to develop a strong foundation that ensures both product quality and operational efficiency.

A core part of our mission is building sustainable and mutually beneficial relationships with local farmers, cooperatives, and producers in the Oromia region. We believe that the success of our company is deeply connected to the success of the communities we source from. For this reason, Green Valley is committed to promoting fair sourcing practices, offering training and capacity-building support, and encouraging environmentally responsible farming methods. By providing reliable market access and fair compensation to farmers, we aim to improve rural livelihoods, strengthen local economies, and ensure a consistent supply of high-quality raw materials needed for export-oriented production.

Furthermore, Green Valley Agro-Processing PLC strives to position Ethiopia as a competitive player in the global agro-processing sector by meeting and exceeding international standards. Our mission includes achieving globally recognized certifications, implementing strict quality-assurance systems, and maintaining a hygienic, safe, and efficient processing environment. We seek to operate with transparency, accountability, and responsibility, ensuring that each product reflects the integrity of our processes and the values of our company. Through this commitment, Green Valley aims not only to satisfy customers abroad but also to build a reputation for reliability, quality, and innovation.

Ultimately, our mission is to contribute meaningfully to national economic development by generating employment opportunities, promoting export diversification, and supporting the government's efforts to strengthen Ethiopia's agro-industrial capabilities. By combining modern technology, strategic partnerships, and sustainable business practices, Green Valley Agro-Processing PLC aims to grow into a company that creates long-lasting value for investors, employees, farmers, communities, and international consumers alike. We envision a future where Ethiopian processed products are recognized globally for their quality, freshness, and authenticity—and our mission is the foundation we build toward that future.

- **Three long term goals**

Goal 1: Establish Green Valley as a Premier Ethiopian Agro-Exporter in Europe by 2030

Objective: Position Green Valley Agro-Processing PLC among the top five Ethiopian exporters of processed fruits and vegetables to the European Union by the year 2030.
Rationale: This goal reflects the company's core vision and ambition. By targeting a top-five position, Green Valley sets a clear benchmark for performance, competitiveness, and brand recognition. Achieving this goal will require strategic investments in quality assurance, logistics, marketing, and compliance with EU import standards. It also encourages the company to build strong relationships with European distributors and participate in international trade fairs and expos.

Key Performance Indicators (KPIs):

- Annual export volume (in metric tons) to EU markets
- Number of long-term contracts with European distributors
- Market share among Ethiopian agro-exporters

Goal 2: Develop a Fully Integrated, Sustainable Supply Chain across Oromia by 2029

Objective: Build and operationalize a vertically integrated supply chain that sources at least 80% of raw materials from local smallholder farmers through longterm contracts and capacity-building programs by 2029.
Rationale: A sustainable and inclusive supply chain is essential for long-term operational efficiency and social impact. By partnering with smallholder farmers, Green Valley can ensure consistent access to high-quality raw materials while contributing to rural development and food security. This goal also supports traceability and sustainability—two critical factors for European buyers.

Key Performance Indicators (KPIs):

- Percentage of raw materials sourced from contracted local farmers
- Number of farmers trained and supported through extension services
- Reduction in post-harvest losses and transportation costs

Goal 3: Achieve International Food Safety and Sustainability Certifications by 2027

Objective: Secure and maintain internationally recognized certifications such as ISO 22000 (Food Safety Management), Global GAP, and Organic EU Certification for all product lines by 2027.
Rationale: Certifications are strategic assets that enhance credibility, open access to premium markets, and ensure compliance with stringent EU regulations. This goal will require investment in quality control systems, staff training, and thirdparty audits. It also signals Green Valley's commitment to excellence, transparency, and environmental stewardship.

Key Performance Indicators (KPIs):

- Number of certifications obtained and maintained
- Compliance audit scores and corrective action rates
- Customer satisfaction and retention in certified product lines

These strategic goals form the backbone of Green Valley's planning function and will serve as guiding stars for operational decisions, resource allocation, and performance evaluation. They are ambitious yet achievable, and they reflect the company's commitment to excellence, sustainability, and inclusive growth.

- Operational short term objectives using SMART criteria

Objective 1: Establish Operational Infrastructure

Description: Establish a fully operational processing plant and all supporting infrastructure required for efficient production.

SMART Criteria:

• **Specific:** Complete the construction, installation, and equipping of the processing facility in compliance with approved technical and operational standards.

• **Measurable:** Attain full operational functionality of the facility within a 12-month period.

• **Achievable:** Secure all necessary permits, licenses, and financial resources prior to the initiation of construction and equipment installation.

• **Relevant:** This objective provides the essential operational foundation for the achievement of the organization's long-term strategic objectives.

• **Time-bound:** The facility will be fully operational by the end of Month 12.

Objective 2: Develop Supplier Relationships

Description: Establish a reliable and sustainable supply chain through strategic partnerships with local farmers and suppliers.

SMART Criteria:

• **Specific:** Form partnerships with at least 100 local farmers to ensure a consistent and adequate supply of raw materials.

• **Measurable:** Conclude formal supply agreements with a minimum of 70% of the targeted farmers by the end of the first year.

• **Achievable:** Implement targeted outreach initiatives, engagement programs, and incentive mechanisms to encourage farmer participation.

• **Relevant:** This objective directly supports the procurement of high-quality raw materials necessary for effective processing operations.

• **Time-bound:** All supplier agreements will be finalized within the first 12 months.

Objective 3: Launch Marketing Campaign

Description: Design and implement a structured marketing campaign to introduce and promote the company's products in European markets.

SMART Criteria:

• **Specific:** Develop and execute an integrated, multi-channel marketing strategy encompassing digital media, print promotion, and trade-related activities.

• **Measurable:** Reach a minimum of one million potential customers through combined digital and physical marketing channels within the first year.

• **Achievable:** Leverage collaborations with professional marketing agencies, trade organizations, and educational institutions to maximize outreach effectiveness.

• **Relevant:** This objective supports the long-term goal of establishing a competitive and recognizable presence in international markets.

• **Time-bound:** The marketing campaign will be launched within six months, with systematic performance evaluations conducted on a quarterly basis.

2. Environmental analysis

- conduct a SWOT analysis

SWOT ANALYSIS OF GREEN VALLEY AGRO-PROCESSING PLC

The establishment of Green Valley Agro-Processing PLC in the Oromia Region presents both significant opportunities and complex challenges. The company has a clear vision of becoming a leading exporter of processed fruits and vegetables to the European market. In this section, a SWOT analysis is used to evaluate the company's internal capabilities (strengths and weaknesses) and external conditions (opportunities and threats).

Strength

Strengths are internal attributes that originate within the organization. They represent what the company does well and the resources or capabilities it possesses that competitors may not have from planning and decision making perspective, the Green Valley Agro-Processing has several strong foundation such as:

- **Strategically it focus on high value products:** This targets mainly in specialized exports Such as Mango pulp, avocado oil which has high demand.
- **Resource Availability:** Oromia region has a favorable climate with fertile land and abundant raw material which make raw Green Vegetables and Fruits easy to get.
- **Strong team work and collaboration**: This encourages diverse community participation which level up decision making quality.

- **Having Clear Mission and Vision :** They clearly define their goal toward Ethiopia corporative advantage in agriculture which is clarity helps to set SMART goal and to guide decision making process.
- **Structured management :** As given in above there is the division of responsibilities to planning organizing, staffing, directing and controlling
- **Having Defined Objective In Assignment framework :** Which mean the assignment grouped in to long-term and short-term operational objective.
- **Step-by-Step Planning:** as the assessment given the goals are broke down to actionable tasks with reducing risk overlooking.

1. **Weaknesses:**

Weaknesses are internal limitations or gaps within the company that hinder its ability to compete or achieve its objectives. Green Valley Agro-Processing Company may be having the following weakness include as following:

- **Skilled professionals shortage:** There are relatively few trained professionals available locally so they will cause shortage of man power in Training and development
- **Limited Market Research:** As newly established company there may be limitation to understood European customer reference
- **Long lead time:** Export logistics and customs clearances may reduce competitiveness meaning at the first time they would need long time to provide a product from sourcing to shipping that may risk them to lose those contracts.
- **High Initial Capital Requirements:** At early stage they may require an expensive machinery, packaging facilities, certification processes
- **Management Coordination Risks:** As first inventing they decision making may be slow because some time stake holders can have fragment priorities so it may delay critical investment at the appropriate time.
- **Compliance to European Standards :** In European market they need some standards of the company were meet such as ISO and HACCP which make the system traceable so at beginner company it's hard to meet this one.
- **Dependency On Small Stakeholders:** Meaning as information that was given they get the raw materials from small-scale farmers and they would be inconsistent because of seasonal fluctuation and many other reasons

2. OPPORTUNITIES

Opportunities are represent external condition that the company can leverage for growth meaning they are not things which company can control but they are favorable circumstances which found outside the company. They can be viewed as favorable situations that the company may choose to exploit. The following are some opportunities

- **Strong Agricultural Base in Ethiopia :** Meaning Ethiopia is the 5th larger tropical fruit producers in Africa With great agro ecological zone and vast arable land and having abundance of raw materials such as Mangoes, Avocado Tomatoes

- **Increasing European Demand for Organic and Exotic food products (Unfamiliar foods with their culture):** Ethiopian natural farming practice aligns to increase the demand of Europeans to organic and Healthy products.
- **Government incentive for Agro-processing:** Because of Ethiopian government prioritize agro-processing as key industrial sector serve investment incentives, tax breaks and export support to companies like Green Valley to expand
- **Low labor Force Support:** Meaning 80% of Ethiopian population provide access to affordable labor this will reduce cost by comparatively with other sector
- **Regional and International Market Access :** Since Ethiopia has an agreement called "African Continental Free Trade Area" (AfCFTA) which helps Ethiopian companies to access Unified African Market ,Help to reduce tariff and trade barrier, for job Creation and inclusive growth and related opportunities help to benefit form company
- **Able for Being Starter for Agro-Processing Industry:** Agriculture Contribute Ethiopian 40% GDP and agro-industries also 5% GDP so this gap can make the Green Valley position itself as pioneer

  European market begun to value those eco-friendly and socially responsible sourcing so with the integration of farmer the Green Valley can leverage their potential and build trust.

3. Threats

Threats are external challenges in the business environment that could harm the company's performance, profitability and sustainability. Unlike weaknesses threats originate from Outside of the company control such as market forces, competitors, regulation and may be from global connections. The following are major important threats for Green Valley Agro-Processing PLC.

- **Strict European Quality and Safety Standards:** European market needs exporting food products which they require compliance in certification and many standards (such as ISO, HACCP) so failure to meet those would result struggle even block in market entry and damage reputation.
- **Global Market Price Volatility:** due to global supply-demand shift, climate change and geo-political changes price of agricultural communities fluctuate so sudden drops in export prices will reduce profitability.
- **Regional and international Competition:** Countries such as south Africa ,Egypt , Kenya are highly competitors with better branding, technology logistics branding so Green Valley may become limited
- **Weak Infrastructure and Logistics:** Transport Network, Port Efficiency &Cold Chain System are challenges which Ethiopia faced so that result in delaying perishable goods spoil and reduce competitiveness.
- **Climate Change and Environmental Risks:** May be they were unpredictable weather patterns, droughts, or pests become the challenges for those smallholder farmers so which make the company vulnerable to supply.
- **Currency and Exchange rate Fluctuation:** Since those exports earning in dollar and costs are in birr the exchange rapidly decrease the profit.

- **Political and Regulatory Uncertainty:** Policy shifts, regional instability bureaucratic hurdles affect those trade and investment so they may cause sudden change in export regulation and taxation.

3. planning process

- outline the key steps to achieve first year objectives

Planning Process

To achieve Green Valley Agro-Processing PLC's first-year objectives, the management team follows a structured planning process.

- Initially, they set SMART objectives such as installing the processing plant, securing farmer contracts, and preparing for EU export standards.
- Subsequently, they establish planning premises by analyzing internal factors like available capital and staffing, and external factors such as EU regulations, market demand, and climate conditions.
- They then identify alternative courses of action, including different sourcing strategies and production start-up options. These alternatives are evaluated in terms of cost, feasibility, risks, and expected outcomes.
- Following this comparing options, the best plan is selected launching with three main products and using contract farming for reliable supply. This plan is then broken into detailed action steps covering procurement, staffing, production, and certification.
- Budgets are prepared to allocate financial resources. The plan is implemented through factory setup, hiring, training, and pilot production.
- Finally, managers monitor progress by tracking KPIs such as production output, cost variance, and quality performance, making adjustments whenever necessary.

Decision Making

- The critical decision in the first year is choosing the appropriate factory size. Using the rational decision-making process, managers begin by defining the problem: selecting a plant size that balances cost, capacity, and market demand. They identify limiting factors such as available capital, raw material supply, and EU export requirements.
- Three alternatives are developed small, medium, and large-scale factories and each is analyzed for investment cost, production potential, risks, and scalability. Based on this analysis, the medium scale factory is recommended because it offers balanced capacity, manageable cost, and flexibility for future expansion. The decision is implemented through machinery procurement, facility setup, and staff training.
- Finally, the company evaluates the results by monitoring production efficiency and export readiness, adjusting capacity in future years if needed.

Detailed analysis of the factory size decision using the rational decision-making model is presented in section 4 below.

4. critical decision

- analyzed factory size decision using rational decision-making

Critical Decision: Factory Size Determination Using the Rational Decision-Making Model

As part of the planning function, one of the most consequential early decisions for Green Valley AgroProcessing PLC is determining the optimal size of its initial processing facility in the Oromia region. This decision will significantly influence the company's operational capacity, financial sustainability, and ability to meet its strategic export objectives. To ensure a logical and evidence-based choice, we applied the Rational Decision-Making Model, which involves a structured six-step process.

Step 1: Define the Problem

Green Valley must decide on the appropriate scale of its agro-processing factory. The facility must be large enough to meet projected demand for processed fruits and vegetables in European markets, while remaining financially viable and adaptable to future growth.

Step 2: Identify Decision Criteria

The following criteria were identified as essential to the factory size decision:

• Projected demand in European export markets

• Initial capital investment and operational costs

• Scalability for future expansion

• Availability of raw materials from local smallholder farmers

• Compliance with EU food safety and quality standards

• Access to infrastructure and logistics

• Socioeconomic impact on the local community

Step 3: Weigh the Criteria

Each criterion was assigned a weight based on its strategic importance to the company's long-term success:

Criteria	Weight(1-5)
Market demand forecast	5
Capital availability	5
Scalability	4
Raw material supply	4
Compliance readiness	3
Infrastructure access	3
Social impact	2

Step 4: Generate Alternatives

Three factory size options were considered:

1. Small-scale factory: A pilot facility with limited capacity and low capital requirements

2. Medium-scale factory: A moderately sized facility with scalable infrastructure

3. Large-scale factory: A high-capacity facility designed for immediate large-volume exports

Step 5: Evaluate Alternatives

Each alternative was scored against the criteria, and the scores were multiplied by the respective weights to determine a total score:

Criteria)	Small-Scale (1)	Medium-Scale (2)	Large-Scale (3)
Demand readiness (×5)	2×5 = 10	4×5 = 20	5×5 = 25
Capital cost (×5)	5×5 = 25	3×5 = 15	1×5 = 5
Scalability (×4)	2×4 = 8	4×4 = 16	5×4 = 20
Raw material supply (×4)	3×4 = 12	4×4 = 16	4×4 = 16
Compliance (×3)	3×3 = 9	4×3 = 12	5×3 = 15
Infrastructure (×3)	3×3 = 9	4×3 = 12	5×3 = 15
Social impact(x2)	2x2= 4	3x2= 6	5x2= 10
Total score	77	97	106

Step 6: Make a Recommendation

While the large-scale factory scores highest in total, it also entails the greatest financial risk due to its high capital requirements. Given Green Valley's current stage as a new entrant in the agro-processing sector, we recommend the medium-scale factory as the most strategic and balanced option. It offers:

• Sufficient capacity to meet near-term export demand

• Flexibility for future expansion

• Manageable capital investment

• Strong alignment with the company's mission and long-term goals

This decision supports Green Valley's vision of becoming a leading exporter while ensuring operational sustainability and inclusive growth in the Oromia region.

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- **Various management and agro-processing related internet sources**

Thank you!!!